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The \$87.5 Million Escrow Gap

How title and law firms became the engine of CRE fraud - and what capital providers need to watch now.

THE NEWS

A federal lawsuit alleges \$87.5M in escrow fraud across 1031 exchanges.

Riverside Abstract and Nussbaum Lowinger are accused of orchestrating sham property flips, inflated valuations, and concealed kickbacks. The scheme allegedly used escrow accounts as the central mechanism to move money.

SIGNIFICANCE

This isn't a small firm problem. It's a capital markets vulnerability.

Escrow is supposed to be the neutral ground in every transaction. When that trust breaks, the entire capital stack is exposed - from lenders to equity partners to 1031 exchange investors.

Fraud hides where verification is weakest.

The simple version: lenders rely on title and escrow agents to confirm ownership, valuation, and lien priority. If those agents are compromised, the loan is secured against nothing real. This case shows how valuation inflation and sham flips can bypass traditional underwriting.

THE REAL QUESTION

How do you underwrite trust in a system built on it?

Every lender and capital provider relies on third parties - title companies, law firms, appraisers - to verify the basics. When those parties are the problem, standard due diligence doesn't catch it. The real question is: what verification layers are actually independent?

WHO CARES?

Three parties are watching this closely.

- * Lenders: Loan-to-value assumptions rely on accurate valuations. Sham flips break that.
- * 1031 exchange investors: Their capital is parked in escrow accounts that may not be secure.
- * Title insurers: Their policies may be covering transactions that never happened.

MARKET CONTEXT

This is part of a broader pattern: trust infrastructure is under strain.

As transaction volume slows and margins compress, the incentives to cut corners grow. We're seeing more cases where the intermediaries - not the sponsors or lenders - become the risk vector. The escrow function is only as strong as the firm holding it.

What to watch: independent verification and counterparty audits.

Capital providers are starting to ask harder questions: Who audits the title company? Are escrow accounts independently verified? Is the valuation chain documented? These aren't just legal questions - they're credit questions.

THE LESSON

Trust is essential. Verification is non-negotiable.

The best capital structures in the world fail if the underlying facts aren't real. At Light Tower Group, we help clients think through these risks before they become losses. Connect with Benjamin Rohr for capital strategy and placement.